**"Comparing China, India, and Brazil reveals that current housing policies in all three countries have produced new forms of exclusion for inhabitants of informal settlements."**

# Slums, Favelas, and Urban Villages: Housing Policy in the Global South

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Many cities in the global South today face an endemic housing crisis. An increasing number of urban dwellers can find places to live only in informal settlements without tenure security or basic services and amenities.

China has seen a proliferation of such settlements since the 1990s, as millions of internal migrants seek low-cost housing in cities. Called "urban villages," these are communities of migrant workers who cannot afford market-rate rent and have temporarily settled in former agricultural villages, where housing is cheaper. In Guangzhou, the largest city in southern China, 5 million people, out of the metropolitan population of 13 million, live in more than 300 urban villages across the metropolitan area.

India and Brazil are two other major developing countries that have large urban populations living in informal settlements. In Mumbai, about 40 percent of the population lives in slums, and in Rio de Janeiro, nearly a quarter lives in favelas, with inadequate infrastructure and services and precarious housing tenure.

Municipal governments in the global South have long been trying to solve the problems of informal settlements. China, India, and Brazil offer examples of three dominant approaches: demolition, resettlement, and integration. In China, ambitious local officials try to get rid of urban villages by demolishing them; once the settlements are razed, they can lease the cleared land to private investors to raise revenue. In India, the standard approach is resettlement—relocating some residents (only those who have lived in a settlement since a certain date are deemed eligible) in order to free up the land occupied by slums. In Brazil, city governments generally avoid demolition or resettlement; instead, they provide services to favela communities, assuming that over time, these neighborhoods will gradually be integrated with the rest of the city.

Many scholars study the success and failure of specific housing programs in single countries; few have taken a global view to comparatively assess the design and implementation of housing policies for informal settlements across countries. Such a comparative perspective is crucial if we want to understand the origins, advantages, and limitations of these policies. Comparing China, India, and Brazil reveals that current housing policies in all three countries have produced new forms of exclusion for inhabitants of informal settlements. But the boundaries of inclusion and exclusion vary because of their different institutional arrangements and land–market relations.

In this essay, I discuss approaches used in Guangzhou, Mumbai, and Rio de Janeiro to illustrate three models of redeveloping informal settlements and to show how their approaches have differently affected communities. All three cities have a large number of residents living in informal settlements. More importantly, they have pioneered policy experiments to redevelop or incorporate these densely populated districts.

## LAND GRABS IN GUANGZHOU

Guangzhou sits at the heart of the Pearl River Delta—the largest urban mega-region in the country, with a combined population of 200 million. The Delta is the hub of China's manufacturing sector: many global and local companies have set up

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factories, lured by tax incentives, good infrastructure, and cheap land provided by local governments. As the largest city in the Delta, Guangzhou attracts migrants from elsewhere in China, many of whom live in the hundreds of urban villages spread across the city.

The dominant approach to redeveloping urban villages in Guangzhou combines demolition with new construction financed by enlisting private capital. This demolition-centered policy has been driven largely by the city government's revenue structure, which is centered on land-based financing. Like most cities in China, Guangzhou depends heavily on land leasing to generate revenue. Guangzhou's revenue from land leasing reached 90 billion yuan (about $14 billion) in 2015, or 35 percent of that year's municipal revenue.

But the model of land-based financing has become increasingly unsustainable, since most urban land parcels have already been leased out. The lack of transferable urban land prompted the Guangzhou administration to reexamine existing land use patterns to find a way of squeezing out more developable parcels. In 2009, the city government identified 138 urban villages (among more than 300), occupying more than 200 square kilometers of land, as promising sites for development. It proposed to demolish all of them by 2020.

*Privately led urban village renewal in Guangzhou perpetuates the housing crisis among the poor.*

Guangzhou specified the procedures for redeveloping urban villages in a policy launched in 2009. Labeled the *sanjiu* program (meaning "three types of old places"), the policy targeted three kinds of districts for redevelopment: old industrial areas, old residential neighborhoods, and urban villages. It explicitly encouraged private developers to participate in urban village redevelopment. Developers could take charge of demolition, compensation, and resettlement; in return, they would be given the right to develop the sites of cleared urban villages.

Landlords in urban villages are offered either monetary compensation or resettlement housing on the same site. Most choose resettlement housing because of rising housing prices in Guangzhou. But migrant tenants do not receive any compensation and in fact are evicted if the village where they live undergoes redevelopment.

Urban villages are challenging for the city government to redevelop because they are highly organized. Most urban villages in southern China are close-knit communities bound by dense family and clan networks. Often they have been incorporated as shareholding village companies, which manage collective assets on the villagers' behalf. These companies stand to obtain a big slice of compensation by negotiating hard with developers and the city government—they often bargain for land elsewhere in the city on which to build new rental properties. They distribute the earnings from these transactions among villager-shareholders.

Urban village redevelopment requires substantial capital investment. Many urban villages have developed a thriving rental economy through the construction of apartment buildings. If these buildings were demolished, the owners would have to be compensated at the market rate. Because of these challenges, the actual progress of redevelopment has proved far slower than officials anticipated.

The Guangzhou government is eager to quicken the pace. In 2016, it announced new policy guidelines for urban village redevelopment. This time, officials introduced the idea of "land banking" as a possible model for redevelopment. The government would buy land from urban villages without consent from local residents, convert the parcels to state-owned urban land, and lease it out to investors through open bidding and auctions. Land banking without residents' consent has been carried out in other cities, such as Beijing and Shanghai, but whether or not it can be done in Guangzhou remains to be seen.

The 2016 policy also offered major concessions, such as granting legal recognition to housing that was illegally constructed before June 30, 2007, and allowing some flexibility regarding land ownership conversion: villages can now retain collective ownership of the land on which resettlement housing is built. Since the policy was announced, a few more urban villages have been redeveloped with private capital, but demolishing 138 villages by the end of 2020, as city officials had envisioned, is unlikely to happen.

The most problematic effect of privately led urban village renewal in Guangzhou (and in China as a whole) is that it perpetuates the housing crisis among the poor. Despite the policy revisions over the past decade, the winners and losers in urban

village redevelopment remain the same. Developers, the city government, and landlords (property-owning villagers) are in a position to divide windfall returns. The government can raise substantial revenue by leasing the land once occupied by urban villages to developers. Developers can build market-rate housing on the vacated land and reap a huge profit.

Villagers who own property are generously compensated by developers; some have become millionaires or even billionaires after redevelopment. Compensation is based on the size of the property before demolition. A villager who owns a three-story building would receive a few two-to-three-bedroom apartments in a newly built market-rate housing complex—and each apartment could fetch half a million dollars.

However, migrant tenants are excluded from these benefits. When redevelopment happens, they are evicted and must relocate to other urban villages to look for housing all over again. Despite their numerical strength, migrants have no voice in the decision-making process. Since they do not have the local *hukou*—household registration that confers access to public services—no matter how long they have lived in a city or an urban village, they will always be treated as outsiders.

Under China's highly decentralized system, the national government does not issue guidelines for urban village redevelopment, leaving municipal governments free to experiment. There is a great deal of variation across the country in the way cities treat urban villages. In general, cities in the north are more aggressive and often resort to demolitions and evictions; cities in the south, such as Guangzhou, are more conciliatory and open to negotiation. Although Guangzhou's official policy endorses demolitions, the city government does not force it; demolition and redevelopment cannot take place until the last family or resident agrees to move. These regional differences can be explained by the fact that southern urban villages have a much longer history than their northern counterparts, and the local communities are more organized by family and clan networks.

## Mumbai Slum Resettlement

Compared with urban villages in China, slums in India have a longer history, dating back to colonial times. In different periods since independence, the central and local governments in India have adopted different policies for dealing with slums. In the 1950s and 1960s, the dominant approach was demolition and removal. In the 1970s and 1980s, the focus became government-led upgrading and service provision. When government support declined in the 1990s, slum housing policies again shifted—this time toward enlisting private capital for redevelopment.

Mumbai, located in the state of Maharashtra on the west coast, is India's commercial hub, with a population nearing 20 million. Its current slum resettlement policy bears a striking resemblance to Guangzhou's program. The state government seeks private developers to raze slums and resettle residents. In return, the developers are given some of the cleared land to build market-rate housing. The policy has led to the transfer of a large number of parcels occupied by slums to private developers.

Where Mumbai's slum policy notably differs from Guangzhou's urban village policy is in the politics of compensation. In Guangzhou, the dividing line is drawn between locals and migrant tenants. In Mumbai, the slum population is divided into the eligible and noneligible, based on length of residency.

Mumbai's slum redevelopment policy can be traced back to the 1995 state elections in Maharashtra, won by the right-wing Shiv Sena party. Campaigning on a platform featuring populism and Hindu nationalism, the party promised to provide free homes for all of Mumbai's slum dwellers. Most previous slum housing programs had required a financial contribution from inhabitants, so Shiv Sena's pledge of free housing drew tremendous support from slum dwellers.

The party argued that skyrocketing property prices in Mumbai made the proposal feasible. If the slum land in central Mumbai could be opened up to private developers, party officials figured, the developers could cover the cost of providing housing for the poor. Upon coming to power, the Shiv Sena–led government set up the Slum Rehabilitation Authority to oversee the program, which has now continued in operation for a quarter-century.

Under the scheme, the state government actively seeks private developers to finance slum redevelopment and resettle residents. The developers must provide small apartments of about 25 square meters (269 square feet) in multistory buildings to eligible slum dwellers, who become owners of the flats. Developers pay for building maintenance for ten years; after that period, the residents pay.

Housing prices in Mumbai have kept rising since the mid-1990s, and redeveloping centrally located slums has become a profitable business.

Since resettlement housing is often poorly constructed with cheap materials, the cost of resettling residents is relatively low, and huge profits can be made by building market-rate housing on the cleared land. In situ resettlement is generally offered to eligible slum dwellers—those who can prove they had established residency by January 1, 2000. But offsite resettlement is the norm for those displaced by large infrastructure projects such as metro rails, roads, and airport expansions.

Slum redevelopment in Mumbai is often fiercely contested by residents. Unlike in Guangzhou, where landlords in urban villages and shareholders of village companies are compensated generously, most slum dwellers in Mumbai do not own their land. Their only compensation is usually a tiny apartment in a substandard resettlement housing complex. Moreover, the arbitrary cutoff date, which requires slum dwellers to have established residency at least 20 years ago, renders a large number of slum residents ineligible for any compensation. Under these circumstances, most residents tend to oppose resettlement, fearing that they will end up being evicted.

After more than two decades in operation, the market-led model of slum resettlement has exacerbated housing inequalities in Mumbai. Slums in good locations are targeted for redevelopment by private-sector developers, while those in less desirable areas are often bypassed. Developers are awarded transferable rights to build commercial housing, but residents are resettled in poorly constructed tenements that lack basic amenities, either on the same site or on the cheapest available land on the periphery.

Ultimately, Mumbai's slum housing policy is geared toward capturing land values, facilitating private gains. The old campaign promise of providing free housing for the poor in Mumbai is not even close to being realized. Nearly half of the city's population still resides in slums and lacks tenure security. By design, improving housing conditions for the poor is not a priority in Mumbai's slum resettlement program.

In both Guangzhou and Mumbai, the vast majority of urban villages and slums have not yet been redeveloped, due to lack of interest from developers or strong opposition from locals. For millions of the urban poor, these are the places where they can claim a space of their own in the city. Many are vibrant working-class neighborhoods with a wide range of businesses and services—factories and workshops, health clinics, groceries, bakeries, and schools for local children. In Chinese urban villages, the village companies operate like minigovernments, providing basic services such as street cleaning and schools, as well as health care and pensions. But there is great disparity in living conditions among urban villages, depending on the wealth of village companies.

Indian slums, lacking territorial-economic entities such as village companies, are worse off. State and municipal governments provide services only to a small number of regularized slums and neglect the rest. The lack of basic necessities, such as water and electricity, has forced residents to mobilize and try to improve their ability to bargain with the state.

## Putting Favelas on the Map

Compared with China and India, Brazil has far more progressive housing policies that recognize informal settlements as part of their cities. Rio de Janeiro, where nearly 25 percent of the local population lives in favelas, has been leading the country in experimenting with innovative polices. Rio's favela policies center on upgrades and integration, calling for the government to provide services and improve infrastructure. In reality, however, to a large extent these policies have not been implemented, whether because of a lack of funding or the shifting priorities of the state. The implementation failure is perhaps the most significant obstacle to favela upgrading.

These favela programs are a result of decades of campaigning by Rio's housing rights movement. In 1985, after two decades of military dictatorship came to an end, municipal elections were reintroduced. Favela dwellers became a major voting bloc. To court these voters, politicians competed to offer favela upgrading programs.

In 1988, the new Brazilian constitution established the right to "adverse possession," legally recognizing land ownership by squatters after five years of occupation. In 1992, a master plan for Rio included provisions that recommended incorporating favelas into the city by upgrading their infrastructure and improving services in the communities. Over time, Brazil has developed a systematic legal and policy framework that protects favela residents' rights to housing.

Rio de Janeiro has implemented two major favela upgrading programs in the past three decades: Favela-Bairro (which means "from favela to neighborhood") from 1988 to 2008, and Morar Carioca ("Carioca way of living," using a nickname for Rio

natives) from 2008 to the present. These policies aimed to integrate favelas with the rest of the city by improving infrastructure (such as water, sanitation, and paved streets) and providing social services (like schools, community centers, and health clinics).

The Favela-Bairro program was implemented in hundreds of favelas, and it significantly improved conditions in those areas. But the program was not without critics. Some pointed out the poor quality of construction, lack of community participation, and fragmented coordination among different departments within the municipality.

The city government tried to address these concerns with a new program in the mid-2000s. Under Morar Carioca, the city aimed to upgrade and integrate all favelas in Rio de Janeiro by 2020, as part of the legacy of the 2016 Summer Olympics. But as the preparations for the Olympics unfolded, the city prioritized other infrastructure projects, such as waterfront redevelopment and public transit extensions, over favela upgrading. Despite its many progressive features, Morar Carioca has not had any real positive impact on the lives of favela residents.

One of the striking features of Rio de Janeiro's housing policies is that they are always heavily intertwined with municipal elections. This is a major difference from housing policies in China and India. In China, there are no municipal elections; in India, mayoralties are symbolic posts—municipal governments do not have control over housing policies, which fall under the purview of state governments. But in Rio de Janeiro, each new mayor has sought to put his own stamp on favela programs by introducing major changes from previous initiatives.

*The market-led model of slum resettlement has exacerbated housing inequalities in Mumbai.*

Back in 1992, Cesar Maia won the mayoral election in Rio by a narrow margin over Benedita da Silva, a black politician raised in a favela. Maia promised policies designed to win favela inhabitants' support. Once in office, he started the Favela-Bairro program to provide infrastructure for select favelas. Funding for the initiative came from the municipal government and the Inter-American Development Bank. The emphasis of the program was on public space and infrastructure such as street lighting, water pipes, and sewage systems, rather than on private homes.

The Municipal Housing Secretariat was in charge of implementation, and the head of the agency, Luiz Paulo Conde, himself became a mayoral candidate in the 1996 election, defeating Maia. Conde and Maia subsequently used the Favela-Bairro program to attack one another, each criticizing the problems with implementation under the other's administration. The program became so politicized that when Maia won back the mayoralty in 2000, he distanced himself from it altogether.

Under a later Rio mayor, Eduardo Paez, who took office in 2009, the city government announced the Morar Carioca program. It set an ambitious goal of incorporating all of the city's favelas by 2020, which, if achieved, would improve the living conditions of more than 230,000 households. Building on the previous decades' experiences with favela upgrading efforts, this new program encouraged community participation. Nongovernmental organizations were contracted to solicit feedback from each favela community about local needs and to serve as mediators.

Funding for Morar Carioca would come from the federal government, in addition to the municipal government and the Inter-American Development Bank, totaling 8 billion reais (about $2 billion)—four times the budget for the Favela-Bairro program. However, as the city was getting ready for the 2016 Olympics, money was diverted to other infrastructure projects, and the funds earmarked for Morar Carioca never materialized. The incumbent mayor, Marcelo Crivella, who took office in 2017, has shown no interest in investing in favela upgrading programs. The current strategic plan for the city does not even mention the term "favela," and instead focuses on new housing construction.

Overall, Rio de Janeiro has far more progressive informal housing policies than do Guangzhou or Mumbai—policies that seek to integrate favelas with the rest of the city instead of simply trying to get rid of them. This reflects the influence of Brazil's pro-democracy movement and active civil society. The problem, however, lies in implementation.

Many housing programs have not been implemented for lack of funding, or because of political competition and poor coordination among different bureaucracies. When the 2016 Olympics spotlighted Rio's stark socioeconomic inequalities, the city government took a number of temporary mea-

sures to repair its image, such as installing police units in favelas to improve public safety—but that was mostly for tourists. Once the games were over, favela residents were left on their own again.

## FROM DEMOLITION TO INTEGRATION

China, India, and Brazil present three different approaches to governing informal settlements. These different approaches are conditioned by local institutional settings—and have produced new forms of inequality.

In China, most city governments want to demolish their urban villages in order to grab the land and promote themselves as slum-free, world-class cities. Local officials are empowered to take such measures by China's decentralized governing system, which allows mayors broad discretion over housing policies. The nondemocratic political regime makes demolition an easy choice, since officials' careers are not dependent on voters. All three factors—public ownership of urban land, decentralization, and single-party rule—explain why Chinese cities opt for demolition over other approaches.

*Once the Olympics were over, favela residents were left on their own again.*

By contrast, demolition and eviction are not politically feasible in Indian or Brazilian cities, due to their different political regimes and land-market relations. In both countries, housing policies for informal settlements tend to be closely connected with state or municipal elections. Residents of Indian slums and Brazilian favelas are major voting blocs, and politicians try to court voters in these communities with favorable housing policies—or at least with campaign promises of such policies.

When India and Brazil are compared, two major differences stand out—land ownership and the power of city governments. These differences explain why India opts for slum resettlement while Brazil pursues favela integration. In India, slum dwellers do not own the land they occupy, so they can be more easily resettled. Municipal governments do not have real power to make housing policies, and state-level politicians usually focus on their rural constituencies since they outnumber urban slum dwellers. In Brazil, the 1988 constitution legally recognizes land ownership by squatters after five years of occupation. The city government of Rio de Janeiro has more power and resources, compared with counterparts in India, to provide infrastructure and services to favelas.

Despite their differences, all three approaches have produced new forms of inequality. They would require fundamental changes to deliver more equitable outcomes. In China, the redevelopment of urban villages benefits only the landlords, and displaces most migrant tenants. Providing affordable rental housing for migrant workers is an urgent challenge faced by Chinese cities.

Some cities, including Guangzhou, have launched public housing programs, building rental units for the lowest-income groups. But two issues make the programs ineffective in easing housing shortages for the poor. Some cities, like Guangzhou, exclude migrants from applying for public housing, and most of the projects are built on the periphery, where there are few job opportunities. The next steps would be opening public housing to both migrants and locals and adding more units in the city center, where the jobs are.

In India, policymakers should rethink the problematic criteria currently used for determining eligibility and compensation (particularly the requirement of residency since January 1, 2000). Instead of imposing a cutoff date for eligibility and offering substandard resettlement housing, official policy should take into account factors such as the length of residency, family size, and business relocation. People who have been living in the community for fewer than 20 years should be given the option to purchase a resettlement unit at a subsidized price; larger families should be offered more space; and business owners should receive assistance to relocate their operations (and the land to do so).

In Rio de Janeiro, a dividing line is drawn between the "elite favelas" adjacent to areas frequented by tourists, which have received most state funding, and the rest. The marginalized favelas in peripheral locations, many of which have been taken over by militias and drug traffickers, should be put back on the policy agenda. The government also should monitor the implementation of favela upgrading programs more closely.

Without such changes, cities in all three countries, regardless of their policy choices, will continue to be divided between the "ghettos" and the "citadels," to borrow terms used by the late urban planning theorist John Friedmann. Effective state intervention in informal settlements is essential for reducing inequalities in the global South, where

urban population growth outpaces the provision of adequate housing and infrastructure.

Of the three countries examined here, each excels at one aspect of housing policy and falls short in others. Brazil has the most progressive vision—integrating favelas with the rest of the city—but falls short in implementation. China excels in implementation due to its strong local governments, but its urban village policy centers on eviction. India has a dynamic civil society, but without strong municipal institutions, nongovernmental organizations alone cannot solve the country's housing crisis. Effective policy interventions require all three elements—progressive design, thorough implementation, and a vibrant civil society that can hold the state accountable. ■

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